

THE SESSION • POST-CLOSE READ

Oil Sets *the Terms*

Brent settled above \$101 for the first time since May as the Hormuz constraint hardened into the EIA's base case, and equities marked a third straight decline ahead of Thursday's PPI and Friday's CPI. Both sleeves gave up less than a point.

S&P 500 ▼ 0.47%

NASDAQ ▼ 0.63%

DOW ▼ 0.77%

VIX 16.45

BRENT ▲ \$101

DIVIDEND STRATEGY

▲ BEAT DVY • TRAILED SPY

-0.72%

 1-DAY

FCI		-0.72%
DVY		-0.86%
SPY		-0.48%

YTD +19.89% vs DVY +16.51% • SPY +12.40%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-0.75%

 1-DAY

FCI		-0.75%
IUSG		-0.40%

YTD +22.90% vs IUSG +13.50%

THE SESSION

For a third consecutive session, the price of a barrel set the terms and equities paid them. Brent moved above \$101 for the first time since May after the U.S. struck five Iranian tankers near Kharg Island and the EIA's updated outlook projected Hormuz flows will remain constrained through the end of 2026, leaving roughly 5.7 million barrels per day shut in. Equities absorbed the arithmetic: the S&P 500 eased 0.47% to 7,638, the Nasdaq gave back 0.63%, and the Dow finished 0.77% lower at 52,381 — each a third straight decline — while the VIX firmed to 16.45. Breadth leaned the same way, with roughly seven in ten issues lower on the session.

The morning question was whether \$100 crude begins to feed the rate path; the afternoon sharpened it rather than settled it. August PPI arrives Thursday and CPI Friday, the ECB is widely expected to move tomorrow, and the tape treated every dollar of crude as a preview of those prints. What worked was what has been working: the physical-supply complex, with Chevron the strongest holding-level expression of the theme. What lagged was rate-sensitive — financials, consumer lenders, builders — alongside AI-adjacent names taking a breath after Tuesday's advance. Beneath the macro tape, the franchise stories kept moving: Apple held its first Ternus-era product event, Meta advanced on its new AI agent, and two of our own growth holdings raised their outlooks in public.

A repricing of the barrel is not a repricing of the business. The franchises we own were built to operate through the whole cycle — including the stretch where the inputs get expensive.

Both sleeves finished inside a point of flat and did their work relative to the tape they were handed. The Dividend Strategy's -0.72% held ahead of DVY's -0.86% while conceding ground to SPY, and the Growth Portfolio's -0.75% trailed IUSG's -0.40% as its miner and fintech layers cooled. The year-to-date standing is unchanged in character:

+19.89% on the Dividend side, a spread of +3.38 points over DVY, and +22.90% on the Growth side, +9.40 points clear of IUSG. Two inflation prints now sit between this close and the weekend; we would rather own productive assets through that window than trade around it.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

MRVL +4.26%

GROWTH

CEO Matt Murphy raised the two-year revenue arc on CNBC — roughly \$12 billion this year building toward \$18 billion next — and positioned the firm as neutral ground for every hyperscale AI customer.

AMD +3.04%

GROWTH

Follow-through on the expanded AI outlook from Citi's TMT conference: data-center revenue framed toward \$70 billion in 2027, with \$29–30 billion in purchase commitments as MI450 ships.

DECLINERS

SOFI -3.78%

GROWTH

Loop Capital initiated coverage at Hold with a \$22 target on a session when rate-sensitive fintech was already out of favor.

HUT -3.59%

GROWTH

Gave back Tuesday's 6.4% advance alongside the broader miner-to-AI infrastructure complex; no company-specific print behind the move.

CVX +1.91%

GROWTH

The cleanest holding-level expression of Brent above \$101; integrated barrels repriced as the Hormuz constraint hardened into the EIA's base case.

QCOM +1.33%

DIVIDEND

Extended its advance on the AWS AI-infrastructure partnership, adding to Tuesday's gains as the compute-buildout narrative broadened beyond the usual names.

SPGI -2.55%

DIVIDEND

Traded with the financials fade for a second session as rate-path questions pressed on the data-and-ratings complex.

NOW -2.32%

GROWTH

Extended Tuesday's decline as enterprise software stayed on the wrong side of the session's rotation.

HOLDINGS NEWS

Marvell raises the arc. Chairman and CEO Matt Murphy, on CNBC Tuesday evening, put revenue expectations at roughly \$12 billion this year and \$18 billion in 2027 — a combined two-year outlook of \$30 billion against the \$23.5 billion contemplated in December — citing deeper hyperscaler relationships and accelerating data-center demand. Shares added 4.26%, extending a double-digit advance over the past week.

Stryker finds its footing. A day after the sharpest holding-level decline of the week — Tuesday's 8.81% pullback that followed the company's report — SYK closed -0.32% at \$275.54, holding the level it established. A single difficult session does not change the installed base or the reconstructive franchise; we note the stabilization and keep our attention on the margin narrative into year-end.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+19.89%

vs DVY +16.51% / SPY +12.40%

Spread vs DVY +3.38 pts

GROWTH PORTFOLIO

+22.90%

vs IUSG +13.50%

Spread vs IUSG +9.40 pts